Praveena:

On opening capital for 1 year $= 25,000 \times \frac{6}{100}$ = ₹ 1,500

On additional capital for 3 months $= 10,000 \times \frac{6}{100} \times \frac{3}{12}$ = ₹ 150

Total interest on capital ₹ 1,650

Illustration 10

A and B contribute ₹ 4,00,000 and ₹ 2,00,000 respectively as capital. Their respective share of profit is 3:2 and the profit before interest on capital for the year is ₹ 27,000. Compute the amount of interest on capital in each of the following situations:

(i) if the partnership deed is silent as to the interest on capital

(ii) if interest on capital @ 3% is allowed as per the partnership deed

(iii) if the partnership deed allows interest on capital @ 5% p.a.

Solution

(i) Interest on capital will not be allowed as the partnership deed is silent as to the interest on capital.

(ii) Profit before interest on capital is ₹ 27,000.

Computation of interest on capital:

A: $4,00,000 \times \frac{3}{100}$ = ₹ 12,000

B: $2,00,000 \times \frac{3}{100}$ = ₹ 6,000

Since there is sufficient profit, interest on capital will be provided.

(iii) Profit before interest on capital is ₹ 27,000.

Computation of interest on capital:

A: $4,00,000 \times \frac{5}{100}$ = ₹ 20,000

B: $2,00,000 \times \frac{5}{100}$ = ₹ 10,000

Since the profit is insufficient, interest on capital will not be provided. Profit of ₹ 27,000 will be distributed to the partners in their capital ratio of 2:1.

3.7.3 Interest on drawings

Interest is charged on drawings made by the partners only when there is an agreement among the partners in this regard. The rate of interest on drawings will be the rate agreed by the partners. Following are the journal entries to be made in the books of the partnership firm.

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